

# **Individual Sense-Making Processes**

Chapter 3 — Managing & Leading People

**Presented by:**

**Bibek Ropakheti**

# Learning Objectives

By the end of this chapter, you will be able to:

- **Define** the concept of "sense-making" in the context of organizational change.
- **Analyze** the "Transitional Curve" and how individuals move through it.
- **Evaluate** the psychological drivers of resistance to change.
- **Understand** the impact of organizational justice on employee perception.
- **Assess** how change alters the "Psychological Contract" between employer and employee.

# What is Sense-Making?

Change disrupts our understanding of the world. Sense-making is the process by which we restructure that understanding.

## Definition (Weick)

Sense-making is the ongoing retrospective development of plausible images that rationalize what people are doing. It is how we give meaning to experience.

## Why it matters:

- Change creates ambiguity (multiple interpretations) and uncertainty (lack of information).
- Individuals must "enact" their environment to understand it.
- If leaders do not provide a narrative, employees will create their own (often negative) rumors.

# Individual Responses to Change

Responses are rarely linear or purely rational. They involve three dimensions:

## Cognitive

### Thinking

"Do I understand this?"

"Does it make sense?"

(Dissonance vs. Resonance)

## Emotional

### Feeling

"Am I anxious?"

"Am I excited?"

(Fear of loss vs. Hope)

## Behavioral

### Acting

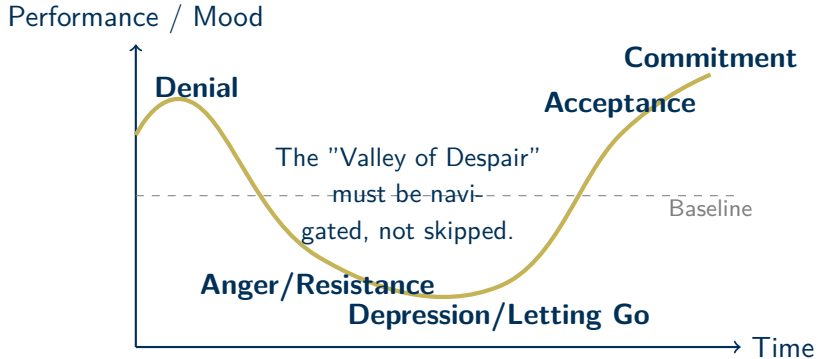
"Will I support it?"

"Will I sabotage it?"

(Engagement vs. Withdrawal)

# The Transitional Curve (Fisher/Kubler-Ross)

Individuals pass through predictable stages when facing significant change.



# Motivating People to Change

Motivation is the energy required to move from the current state to the future state.

- **Intrinsic Motivation:** The change aligns with personal values or offers growth (e.g., "This makes my job more interesting").
- **Extrinsic Motivation:** Rewards or punishments (e.g., Bonuses or threat of job loss).

## Self-Determination Theory

To motivate sense-making, leaders must satisfy three needs:

1. **Autonomy:** Control over how they change.
2. **Competence:** Skills to handle the change.
3. **Relatedness:** Feeling connected to the team.

# Resistance: A Form of Sense-Making

Resistance is often viewed as "bad," but it is a natural part of sense-making.

## Why people resist:

- Loss of control.
- Uncertainty overload.
- Loss of face (past ways were "wrong").
- More work/effort.

## Reframing Resistance

Do not treat resistance as mutiny. Treat it as **feedback**. It indicates that the individual has not yet made sense of the "New World" or that the psychological contract has been breached.

# Perceptions of Justice and Fairness

Sense-making is heavily influenced by "Is this fair?"

## **Distributive Justice**

Was the *outcome* fair?  
(Who got what?)

## **Procedural Justice**

Was the *process* fair?  
(Was I heard?)

## **Interactional Justice**

Was I treated with *dignity*?  
(Communication)

*Even if the outcome is negative (e.g., layoffs), Procedural and Interactional justice can maintain trust.*

# The Psychological Contract

## Definition

The unwritten set of expectations between employee and employer (e.g., "If I work hard and stay loyal, you will provide security").

## Impact of Change:

- Change often breaches this contract (e.g., restructuring removes security).
- **Breach:** A cognitive recognition that obligations were not met.
- **Violation:** The emotional reaction (anger, betrayal) to the breach.

**Result:** Shift from "Relational Contract" (Loyalty) to "Transactional Contract" (Money for time).

Trust is the currency of sense-making. Without it, the leader's narrative is rejected.

## The Trust Equation in Change:

$$\text{Trustworthiness} = \frac{\text{Credibility} + \text{Reliability} + \text{Intimacy}}{\text{Self-Orientation}}$$

- **Credibility:** Do you know what you are doing?
- **Reliability:** Do you do what you say?
- **Intimacy:** Do you care about my feelings?
- **Self-Orientation:** Is this change just for *your* bonus? (Must be low).

# Helping People Make Sense (Sense-Giving)

Managers must move from "Managing Tasks" to "Leading Meaning."

## Strategies

1. **Give a Map:** Provide a clear vision of the destination.
2. **Listen:** Allow employees to voice fears (Ventilation).
3. **Over-Communicate:** In the absence of data, people invent stories. Fill the void with facts.
4. **Symbolic Action:** Leaders must role-model the new behavior first.

## Summary:

1. Change is a psychological event, not just a procedural one.
2. Individuals must "Make Sense" of the ambiguity before they can commit.
3. Resistance is often a reaction to the breach of the **Psychological Contract** or lack of **Procedural Justice**.
4. Leaders facilitate this process through **Sense-Giving**: providing clarity, fairness, and empathy.

**Thank You**

Questions?